

24LBCV02059 24LBCV02059

County: los-angeles

Division: Civil Law and Motion

Department: S27

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Case Number: 24LBCV02059 Hearing Date: August 20, 2026 Dept: S27

1. Background

Facts

Plaintiff, Antonia Rodriguez filed

this representative PAGA action against Defendants, Darden Restaurants, Inc. and GMRI, Inc. for violations of wage and hour laws, including failure to pay overtime, failure to provide meal periods, failure to provide rest periods, failure to pay minimum wages, failure to pay wages due upon termination, failure to provide complete and accurate wage statements, failure to keep complete and accurate payroll records, and failure to reimburse necessary business expenses.

Plaintiff's operative complaint is

her First Amended Complaint, which she filed on 3/17/25.

2. Prior

Motion to Compel Arbitration

On 11/27/24, Defendant filed its

initial response to Plaintiff's complaint, which was a motion to compel arbitration. Plaintiff filed opposition

on 3/18/25, and Defendant withdrew the motion on 3/24/25, prior to the hearing.

3. Prior

Proceedings Related to Motion to Stay

On 4/16/25, shortly after

withdrawing its motion to compel arbitration, Defendant filed a motion to stay

proceedings. It sought an order staying these proceedings pending the outcome of a pending PAGA case in another county (Garcia). In that action, the representative plaintiff had sued Defendant's parent company for PAGA violations relating to Yard House employees; in this action, Plaintiff has sued Defendant and its parent company for PAGA violations relating to Olive Garden employees.

The Court stayed the action to permit the Garcia Court to determine whether to proceed as to Olive Garden employees only or whether to proceed on claims relating to all parent company employees. This case remained stayed pending the outcome of the Garcia proceedings, but on 6/22/26, the parties filed a joint stipulation to dissolve the stay.

The parties agreed that the pendency of Garcia was no longer relevant because the parties had settled another action, Torres, and the settlement in Torres left certain claims pending between the parties in this action unresolved.

4. Motion to Compel Arbitration

Parties' Positions

Defendant moves to compel arbitration, contending Plaintiff signed an arbitration agreement that requires her to resolve her claims in arbitration.

Plaintiff opposes, contending (a) Defendant waived its right to compel arbitration, (b) Plaintiff never agreed to arbitrate her claims, (c) the agreement is unconscionable, and (d) the PAGA claims cannot be arbitrated. Defendant filed reply papers, wherein it contends each of Plaintiff's opposition arguments lacks merit.

Evidentiary Objections

Defendant filed evidentiary objections with its reply papers. The objections are overruled.

Waiver of Right to Arbitrate

i.

Contention

Plaintiff argues Defendant waived its right to compel arbitration of this action by abandoning its original motion and instead pursuing its litigation strategy for over a year.

ii.

Law Governing Waiver

“[N]o single test delineates the nature of the conduct that will constitute a waiver of arbitration.” (Saint Agnes Medical Center v. PacifiCare of California (2003) 31 Cal.4th 1187, 1195 (Saint Agnes).)

Nonetheless, courts can consider the following factors:

“(1) whether the party’s actions are inconsistent with the right to arbitrate; (2) whether “the litigation machinery has been substantially invoked” and the parties “were well into preparation of a lawsuit” before the party notified the opposing party of an intent to arbitrate; (3) whether a party either requested arbitration enforcement close to the trial date or delayed for a long period before seeking a stay; (4) whether a defendant

seeking arbitration filed a counterclaim without asking for a stay of the proceedings; (5) “whether important intervening steps [e.g., taking advantage of judicial discovery procedures not available in arbitration] had taken place”; and (6) whether the delay “affected, misled, or prejudiced” the opposing party.” (Sobremonte v. Superior Court (1998) 61 Cal.App.4th 980, 992.

The Court finds there has been no waiver in this case. Defendant filed a motion to compel arbitration, but then withdrew the motion to pursue a stay of this action pending the outcome of arbitration in another action. The stay remained in place, and immediately when it was lifted, Defendant again commenced seeking to compel arbitration. This is not inconsistent

with the intent to arbitrate, and there is no prejudice.

Ambiguity

Plaintiff argues there was not mutual assent to the obligation to arbitrate.

Specifically, she notes that the agreement requires her to submit disputes to “mediation or arbitration.”

A full review of the parties' agreement, however, shows that it is not ambiguous in this regard. The agreement provides for various steps, including mediation and/or arbitration, but clearly ultimately requires the final step to be arbitration. The agreement is called a Dispute Resolution Process Agreement, and the first paragraph indicates it is governed by the Federal Arbitration Act. The body of the document commences on page 3, which explains there is a four-step process, including open door, peer review, mediation, and arbitration. It then explains that the DRP is the sole means for resolving employment disputes, and the final step is resolution by an arbitrator; it expressly clarifies that court is not available for dispute resolution. On page 7, it explains that mediation is an optional step and either party “may” submit the dispute to mediation. Page 8 then explains the arbitration process. The Court finds the agreement unambiguous and rejects Plaintiff's contention in this regard.

Mutual Assent

i.

Contention

Plaintiff also argues she did not consent to the agreement because she never received or reviewed the DRP.

ii.

Law Governing Online Arbitration Agreements in Employment Context

There is a three-step process used to determine the arguments regarding electronic signatures and denials: *Fabian v. Renovate America, Inc.* (2019) 42 Cal.App.5th 1062; *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047; *Ruiz v. Moss*

STEP 1 – Defendant's initial
burden

Defendant meets its initial burden

to show an agreement to arbitrate by attaching a copy of the contract to its petition, which purportedly bears the plaintiff's electronic initials and signature. *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1057-1058 ["as a preliminary matter the [trial] court is only required to make a finding of the agreement's existence, not an evidentiary determination of its validity."]. To meet its burden, the moving party need only attach a copy of the agreement to the petition and incorporate it by reference. (*Id.* at 1058; Cal. Rules of Court, rule 3.1330 ["The provisions must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference."]).

STEP 2 – The burden shifts to
the plaintiff

Plaintiff declares that she/he did
not sign the contract

STEP 3 – The burden shifts back
to the defendant

Defendant then has the burden of
proving by a preponderance of the evidence that the electronic signature was authentic. Defendant's burden of authenticating an electronic signature is not great. (*Ruiz* at 844) The party seeking authentication may carry its burden in any manner, including by presenting evidence of the contents of the contract in question and the circumstances surrounding the contract's execution. (*ibid*).

Defendant can attribute the
signature to Plaintiff by showing the "efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable." (Civ. Code, § 1633.9, (a)). The effect of an electronic signature attributed to a person "is determined from the context and surrounding circumstances at the time of its creation, execution,

or adoption, including the parties' agreement, if any, and otherwise as provided by law." (Civ. Code, § 1633.9, (b)).

A party can establish that the electronic signature was the act of Plaintiff "by presenting evidence that a unique login and password known only to that person was required to affix the electronic signature, along with evidence detailing the procedures the person had to follow to electronically sign the document and the accompanying security precautions." (Bannister v. Marinidence Opco, LLC (2021) 64 Cal.App.5th 541, 545).

iii.

Analysis

The Court has reviewed the Varela Declaration, submitted with the reply, and finds it meets the burden detailed above. Varela is the Associate Manager of Dispute Resolution. She details the online process for agreeing to arbitration, including the electronic application process. She explains that, when a prospective employee is offered a job, the employee is emailed all employment documents, including the DRP, and must electronically sign the agreement as a condition of employment.

Plaintiff's contentions appear to be that she was rushed through the process and/or did not understand what arbitration is when she signed the documents.

She cites no authority permitting her to circumvent her arbitration obligations under such circumstances.

See, for example, Harris v. Tap Worldwide, LLC (2016) 248 Cal.App.4th 373, 383, explaining that a failure to read and/or understand an arbitration agreement in the employment context does not relieve the employee of the obligation to arbitrate.

Unconscionability

i.

Plaintiff's Contention

Plaintiff contends the arbitration

agreement is both procedurally and substantively unconscionable.

ii.

Law Governing Unconscionability

“[P]rocedural and substantive

unconscionability must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability.” (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 102.) The courts invoke a sliding scale which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves, i.e., the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to conclude that the term is unenforceable, and vice versa. (Id. at p. 114.) Plaintiff bears the burden of proving that the provision at issue is both procedurally and substantively unconscionable.

iii.

Analysis re: Procedural

Unconscionability

“Procedural unconscionability

focuses on the elements of oppression and surprise. Oppression arises from an inequality of bargaining power which results in no real negotiation and an absence of meaningful choice ... Surprise involves the extent to which the terms of the bargain are hidden in a ‘prolix printed form’ drafted by a party in a superior bargaining position.” (Roman v. Superior Court (2009) 172 Cal.App.4th 1462, 1469, internal citations and quotation marks omitted.)

Plaintiff contends the Arbitration

Agreement is procedurally unconscionable because it was presented on a take-it-or-leave-it basis with no meaningful time or option to review the terms. Plaintiff relies on OTO, LLC v.

Kho (2019) 8 Cal.5th 111, 126 to support this position. The OTO Court noted that employment arbitration agreements are almost always adhesive, but adhesive contracts are not necessarily procedurally unconscionable.

The OTO Court held the particular agreement at issue was procedurally unconscionable because it was presented an employee who had already been

working at the company for three years on a take-it-or-leave-it basis as a condition to continued employment, the time spent to review the agreement would have been reduced from the employee's pay, any it selected a low-level employee (a porter) to present the agreement, which made it seem unimportant. The court of appeals also noted that the agreement was only one page long, but was in tiny font, with the arbitration provision spanning 51 lines that were visually impenetrable and basically illegible.

The Court finds the agreement at issue in this case does not meet the above criteria. Plaintiff explains that she was offered employment at her interview, which was rushed because the person interviewing her was also working and it was a shift change. She declares she was presented all of the relevant documents and had only her cell phone to review them. She felt pressure to review the documents quickly and sign them in order to be offered employment. She recalls a document that looked like the arbitration agreement, but was reviewing it on her phone. She declares she did not "receive" the arbitration agreement, but it appears she means she did not receive copies of the documents she signed, not that she did not sign the documents in the first place.

The case is distinguishable from OTO because Plaintiff was not already an employee, was interviewing with a person who clearly had the authority to hire her (as opposed to a porter), and was given the agreement to review and sign on her phone. While the phone would have rendered the document small, the Court has reviewed the document and finds that, even on a phone, it would have been legible and easy to read and understand. Unlike OTO, where the document was in tiny print and buried in other language, the DRP Plaintiff signed was its own separate document, was very clearly labeled, and set forth the process in ordinary and concise language any layperson could understand.

iv.

Analysis re: Substantive Unconscionability

If the Court were to find a small measure of procedural unconscionability, it would need to next turn to the issue of substantive unconscionability.

In an abundance of caution, it will do so at this time.

Plaintiff argues the agreement is substantively unconscionable for several reasons, each of which will be addressed below.

First, she contends the agreement is substantively unconscionable because it purports to shorten the statute of limitations on employment claims from three years to one year. Defendant, in reply, expressly quotes a provision in the agreement that makes clear that any statute of limitations that cannot be shortened by law is NOT shortened as a result of the agreement.

Second, she contends the agreement is substantively unconscionable because it gives the arbitrator discretion to award costs even if an award of costs is mandatory under the law. The exact provision states that the “arbitrator is authorized to award fees and costs in accordance with and subject to the limitations of applicable law.” Reading this to mean the arbitrator has the discretion to NOT do so when required to do so strains credulity.

Third, she contends certain procedural rules are unconscionable, but fails to meaningfully address how this is so. The Court finds no substantive unconscionability in the agreement.

Individual PAGA

Arbitration

Governing Law

The parties discuss the ruling in *Barrera v. Apple Am. Grp. LLC* (2023) 95 Cal.App.5th 63 concerning whether or not the contract language re: PAGA individual claims is objectionable or not.

In *Adolph v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104, the California Supreme Court unequivocally held that, in the event individual claims are compelled into arbitration, the representative claims must be stayed, rather than dismissed, pending the outcome of the arbitration. Thus, the current state of the law is such that only individual claims can be compelled into arbitration, and representative claims must be stayed

pending the outcome of the arbitration proceedings.

In Barrera, the issue was whether the language in the employment contract was sufficiently clear to require arbitration of individual claims. The subject contract contained language stating, "We also agree that any arbitration between the Company and me will be on an individual basis and not as a representative, class or collective action." The Barrera Court found the above language sufficient to require the plaintiffs to arbitrate their individual PAGA claims and have any representative claims stayed pending the outcome of that arbitration.

ii.

Subject Language

The subject contract contains the following language in this regard:

You and the Company agree to bring any dispute in arbitration on an individual basis only, and not on a class, collective, or private attorney general representative action basis. Accordingly,

(a) There will be no right or authority for any dispute to be brought, heard or arbitrated as a class action ("Class Action Waiver").

However, in any case in which (1) the dispute is filed as a class action and (2) a civil court of competent jurisdiction finds the Class Action Waiver is invalid, unenforceable, unconscionable, void or voidable, the class action must be litigated in a civil court of competent jurisdiction.

(b) There will be no right or authority for any dispute to be brought, heard or arbitrated as a collective action ("Collective Action Waiver").

However, in any case in which (1) the dispute is filed as a collective action and (2) a civil court of competent jurisdiction finds the Collective Action Waiver is invalid, unenforceable, unconscionable, void or voidable, the collective action must be litigated in a civil court of competent jurisdiction.

(c)

There will be no right or authority for any dispute to be brought, heard or arbitrated as a private attorney general representative action on behalf of other employees ("Private Attorney General Waiver"). However, you may bring and arbitrate a private attorney general action as a representative of the State seeking civil penalties only for yourself. The Private Attorney General Waiver does not apply to any claim you bring in arbitration as a private attorney general solely on your own behalf and not on behalf of or regarding others. In any case in which (1) the claim is brought as a private attorney general and (2) a civil court of competent jurisdiction finds the Private Attorney General Waiver is invalid, unenforceable, unconscionable, void or voidable, such private attorney general claim must be litigated in a civil court of competent jurisdiction.

The Court finds the exculpatory language clarifying that, in the event the class action waiver is invalid, then the representative action must be litigated in a court of competent jurisdiction is sufficient to save the agreement from the penalty of rendering it unenforceable. The Court finds that, per governing law, the individual claims must be arbitrated and the representative claims stayed pending the outcome of the arbitration.

Conclusion

The motion to compel arbitration is granted. The individual claims must be submitted to binding arbitration. The representative claims are stayed pending the outcome of the arbitration proceedings.

5. Case

Management Conference

The parties are reminded that there is a CMC on calendar concurrently with the hearing on the above motion. The Court asks the parties to make arrangements to appear remotely at the CMC and hearing on the motion.

Dated this 20th day of August, 2026